

Advanced Micro Devices, Inc.

AMD • NASDAQ Global Select • Semiconductors • United States

RECOMMENDATION SELL 12-month horizon	CURRENT PRICE 516.10 USD as of report date	TARGET PRICE 413.00 USD 12-month fundamental		
IMPLIED UPSIDE -20.0% vs. current price	MARKET CAP USD 853.1 bn shares × price	ENTERPRISE VALUE USD 857.5 bn mcap + net debt		
P/E 2026E 112.5×	EV/EBITDA 2026E 58.3×	FCF YIELD 2026E -0.3%	DIVIDEND YIELD 2026E —	NET DEBT / EBITDA 2026E 0.3×

RESEARCH SNAPSHOT

The call, the math, and the three reasons why

02

This page is the institutional summary. Read it in 30 seconds — the rest of the report is the supporting evidence.

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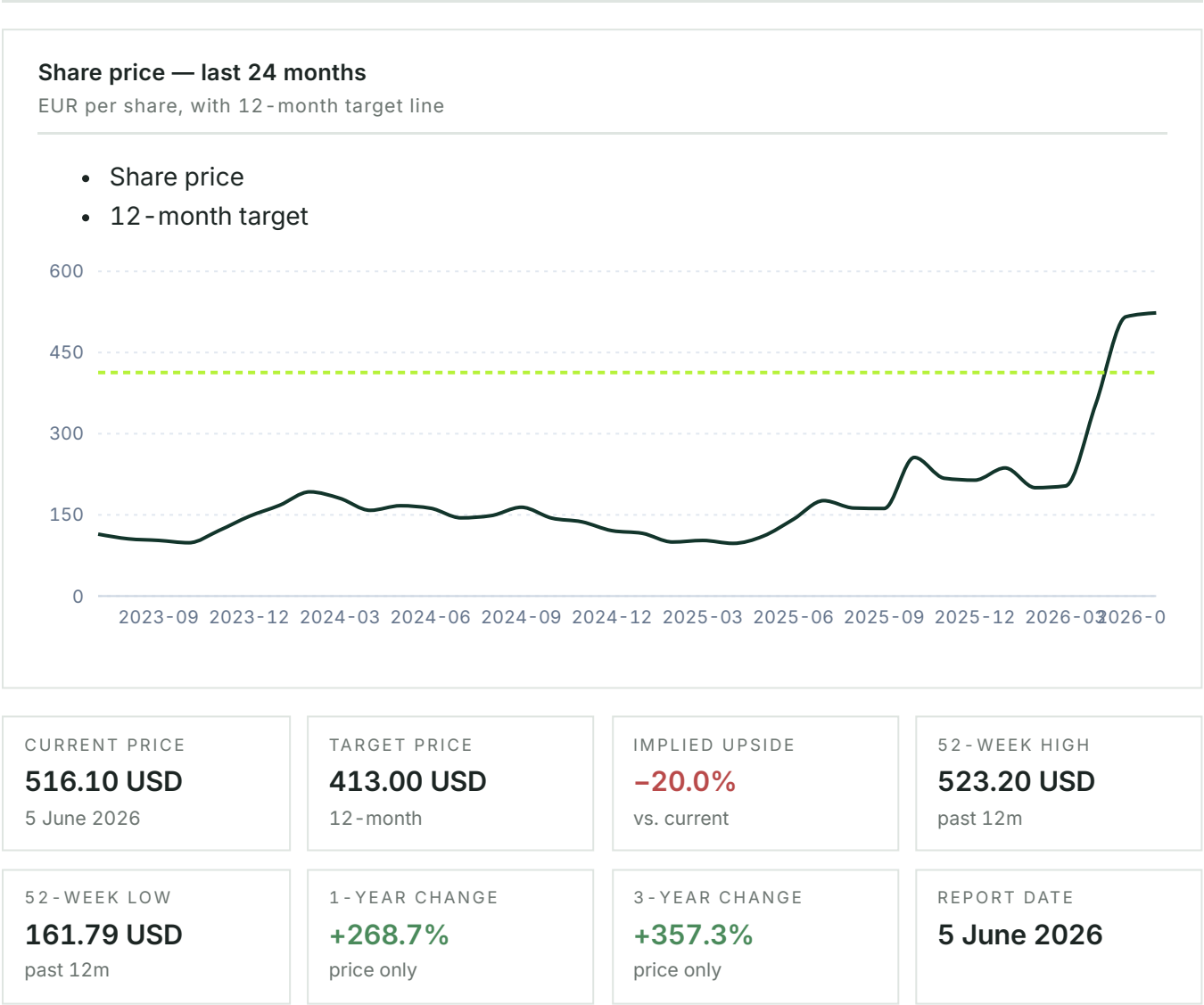
01 Severe Valuation Disconnect The enterprise valuation rests on a severe structural skew: the data center segment absorbs \$750 billion of total market value while generating only 67.1% of estimated forward operating earnings. ----- \$750 billion	02 Aggressive Consensus Bridge Bridging baseline economics to aggressive market expectations requires group sales to grow \$20.0 billion sequentially, with the artificial intelligence segment expanding revenue to roughly \$48.0 billion. ----- +\$20.0 billion	03 Massive Uncovered Premium The stock explicitly prices a \$515 billion uncovered premium above structurally supported economics, creating severe multiple contraction risk if custom silicon competition causes segment earnings to stagnate near \$12.0 billion. ----- \$515 billion
THESIS BREAKER Widespread enterprise adoption of the MI355X architecture displacing Nvidia while defending 35%+ operating margins against internal hyperscaler ASICs.		

SHARE PRICE DEVELOPMENT

Price trajectory and valuation anchors

03

24+ months of monthly closes with the 12-month target overlaid. Quick facts pull from market data.

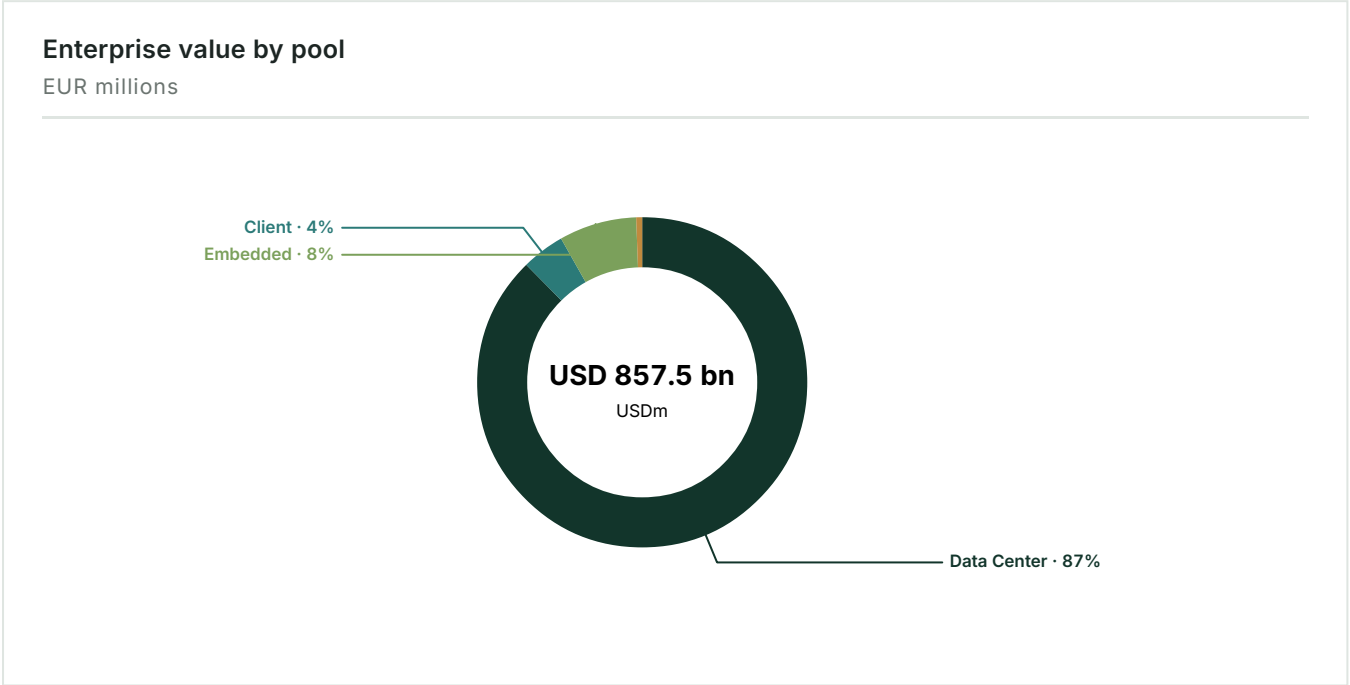


VALUE BREAKDOWN · PART 1

Enterprise - value allocation by value pool

04

Each pool's share of the group's enterprise value, with revenue / EBIT / EV economics.



SEGMENT ECONOMICS							
	REVENUE	REV %	COMP. EBIT	EBIT %	EV	EV %	ARCHETYPE
Data Center	28,000	56.0%	9,375	67.1%	750,000	87.5%	Scaling
Client	12,000	24.0%	1,800	12.9%	36,000	4.2%	Profit engine
Embedded	6,000	12.0%	2,400	17.2%	65,000	7.6%	Profit engine
Gaming	4,000	8.0%	400	2.9%	6,534	0.8%	Declining

VALUE BREAKDOWN · PART 2

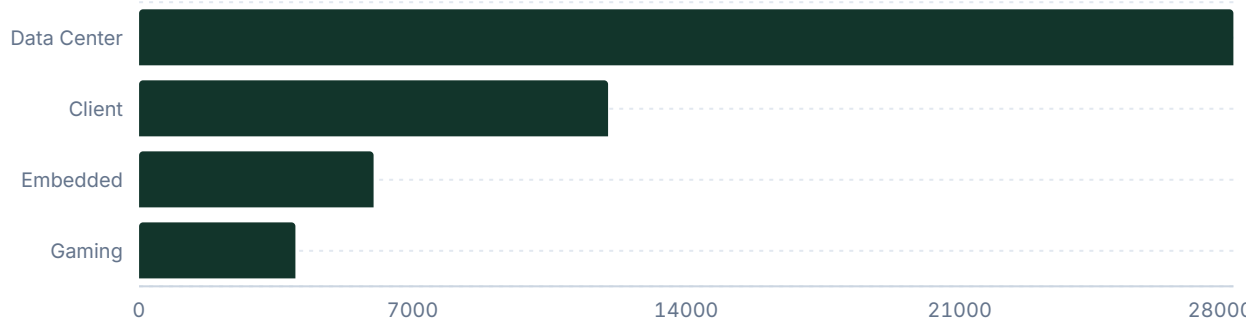
05

Net sales and EBIT by pool

Two horizontal bar charts showing where revenue and earnings actually come from.

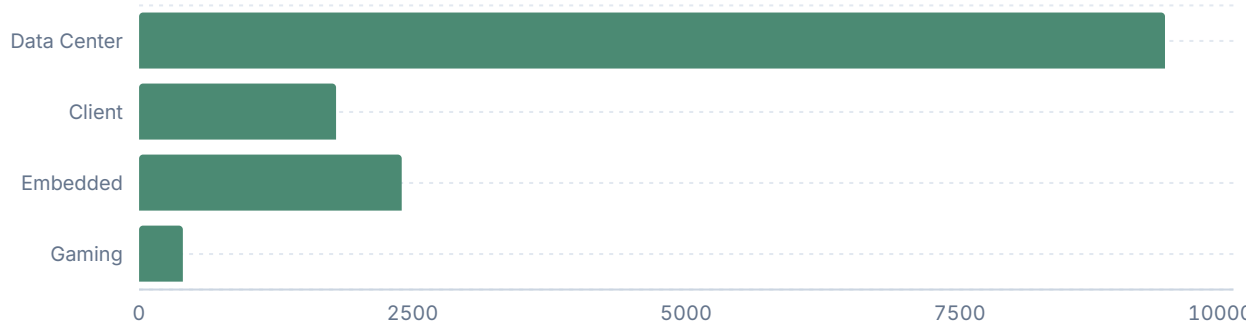
Net sales by pool

EUR millions, latest reported



Comparable EBIT by pool

EUR millions, latest reported



INTERPRETATION

AMD's enterprise value is structurally skewed, decoupling the group's valuation from its current revenue distribution. The market prices AMD overwhelmingly as a Data Center pure-play, assigning an 87.5% EV weight to a segment that generates only 56.0% of sales. The resulting \$515 billion uncovered valuation premium relies on aggressive future optionality.

RECOMMENDATION

Why we land on the call we do

06

The supporting prose, the rating decision, and the three load-bearing reasons.

Advanced Micro Devices is currently trading at \$516 and prices in an unrealistic execution burden, supporting a clear SELL view with a target price of \$413. This valuation target implies roughly 20% downside over the next 9 months as competitive risks mount.

The enterprise valuation is severely skewed: the data center segment absorbs 87.5% (\$750 billion) of total market value but generates only 67.1% of estimated forward operating earnings. The remaining divisions contribute 44.0% of group sales and 12.5% of enterprise value, functioning mainly as R&D funding mechanisms.

Bridging current economics to consensus expectations requires group net sales to jump \$20.0 billion to \$70.0 billion in 2027. Because legacy segments face tight memory cost ceilings, the Data Center must drive nearly all sequential expansion, demanding volume execution on the MI355X and severe leverage over High-Bandwidth Memory supply costs to sustain targeted 33.5% operating margins.

SELL

TARGET PRICE
413.00 USD

CURRENT PRICE
516.10 USD

IMPLIED UPSIDE
-20.0%

12-MONTH VIEW
AMD faces an unrealistic execution burden and severe multiple contraction risk if custom silicon competition forces data center segment earnings to stagnate.

MAIN DRIVER
Data center AI hardware deployment and HBM memory supply constraints.

MAIN RISK
Hyperscaler ASIC substitution crushing merchant inference volume.



01 Severe Valuation Disconnect

The enterprise valuation rests on a severe structural skew: the data center segment absorbs \$750 billion of total market value while generating only 67.1% of estimated forward operating earnings.

\$750 billion

02 Aggressive Consensus Bridge

Bridging baseline economics to aggressive market expectations requires group sales to grow \$20.0 billion sequentially, with the artificial intelligence segment expanding revenue to roughly \$48.0 billion.

+\$20.0 billion

03 Massive Uncovered Premium

The stock explicitly prices a \$515 billion uncovered premium above structurally supported economics, creating severe multiple contraction risk if custom silicon competition causes segment earnings to stagnate near \$12.0 billion.

\$515 billion

THESIS
BREAKER

Widespread enterprise adoption of the MI355X architecture displacing Nvidia while defending 35%+ operating margins against internal hyperscaler ASICs.

CORE ANALYSIS · EXECUTIVE MAP

07

How the company creates economic value

The mental model behind every pool deep-dive that follows.

The enterprise value of Advanced Micro Devices, Inc. (AMD) shows a deep structural skew toward future AI infrastructure growth, decoupling the group's valuation from its current revenue mix. The group enterprise value control total of \$857,534 million bridges to the equity market cap of \$853,130 million by deducting a modest estimated net debt position of \$4,404 million. At the enterprise level, the market prices AMD overwhelmingly as a Data Center pure-play. While Data Center generates 56% of estimated 2026 net sales and 67% of estimated forward EBIT, it absorbs 87.5% of total enterprise value.

The analytical allocation shows that AMD's valuation is driven not by steady-state semiconductor cycles, but by the expected exponential expansion of the AI accelerator TAM. By applying normalized peer multiples to the mature and cyclical non-Data Center segments, the residual valuation methodology isolates the market's implied pricing for the Data Center. At an allocated enterprise value of \$750 billion, the Data Center business trades at approximately 80x estimated 2026 EBIT of \$9.37 billion.

Consequently, the core analytical task is to evaluate the economic reality of the Data Center segment. The Client and Embedded segments remain operationally vital for cash flow, scale leverage, and IP development, but their performance will not dictate the equity trajectory. If Data Center EBIT margins compress because of aggressive pricing from Nvidia or hyperscaler custom silicon substitution, the 80x multiple will fracture, and the modest free cash flow from legacy segments will provide negligible valuation support.

ANALYTICAL ANCHOR

The core analytical task is to evaluate the economic reality of the Data Center segment, which commands \$750 billion of enterprise value despite generating just \$9.37 billion in 2026 operating profit.

08

Data Center

Pool deep dive — scaling_current_business.

The Data Center segment is estimated to generate \$28.0 billion in net sales and \$9.37 billion in EBIT for 2026, a 33.5% operating margin. It accounts for 56.0% of group revenue and 67.1% of group EBIT. Yet it holds an allocated enterprise value of \$750 billion, 87.5% of the total group valuation. This allocation, derived via residual enterprise value estimation, is assessed with medium confidence, reflecting the speculative premium the market assigns to future AI hardware demand.

The market values the Data Center segment as the primary engine for generative AI and agentic AI infrastructure, treating AMD as the only viable merchant silicon alternative to Nvidia. The \$750 billion allocation reflects an expectation that the AI accelerator TAM will grow toward \$400–\$500 billion by decade end. Investors are pricing in a scenario where hyperscalers (Microsoft, Meta, Oracle, Amazon, Google) structurally require a second-source supplier to keep negotiating leverage and secure supply amid severe silicon and memory bottlenecks.

The demand structure for data center silicon is transitioning from training-dominated workloads to inference-heavy deployments. Inference is projected to account for about two-thirds of all AI compute spending by late 2026 and grow further toward decade end. AMD has intentionally optimized its Instinct MI300 and subsequent MI350/MI355X series around a "memory-first" architecture, using massive arrays of High-Bandwidth Memory (HBM3e) to host larger models on fewer GPUs.

The deepest competitive threat to AMD's valuation, however, is not just Nvidia, but the hyperscalers themselves. Google, Amazon, and Microsoft are aggressively scaling their own custom Application-Specific Integrated Circuits (ASICs). Because ASICs do not carry a merchant silicon margin, hyperscalers have a strong incentive to migrate internal workloads away from merchant GPUs. If custom silicon captures most of the inference market, the merchant TAM available to AMD will shrink, breaking the volume assumptions needed to support its 80x EBIT multiple.

DATA CENTER FACT SHEET

SCALING_CURRENT_BUSINESS

2026E NET SALES

\$28,000M

2026E EBIT

\$9,375M

EBIT MARGIN

33.5%

VALUATION BASIS

Residual EV / Option Value

IMPLIED MULTIPLE

80x Forward EBIT

08

Client

Pool deep dive — current_profit_engine.

The Client segment is estimated to generate \$12.0 billion in net sales and \$1.8 billion in EBIT for 2026, implying a 15.0% operating margin. It commands an allocated enterprise value of \$36.0 billion, 4.2% of the group total. This allocation is based on a ~20x forward EBIT peer multiple, reflecting steady-state PC semiconductor dynamics. The allocation is assessed with medium confidence.

The Client segment — historically the battlefield between AMD and Intel — is valued for its reliable cash generation, high-volume output, and strategic role in amortizing foundational x86 architecture research. By capturing a projected ~36% unit share of the desktop CPU market and increasing laptop penetration, AMD uses this segment to fund the massive R&D required for the Data Center.

The PC market faces two simultaneous shocks. First, an acute memory shortage driven by data center consumption of High-Bandwidth Memory (HBM) is severely restricting supply of standard consumer DRAM. Rising memory costs are inflating the bill of materials for consumer PCs, eroding the sub-\$500 entry-level market and forcing consumers into higher pricing tiers.

While AMD is taking share from Intel because of Intel's manufacturing and stability missteps, the x86 duopoly is fracturing. Qualcomm is pushing ARM-based Windows laptops with superior battery life. Nvidia's introduction of the RTX Spark and the Vera CPU signals a direct assault on the PC logic board, threatening to run AI agents directly on personal devices and bypass traditional x86 CPUs entirely.

CLIENT FACT SHEET

CURRENT_PROFIT_ENGINE

2026E NET SALES

\$12,000M

2026E EBIT

\$1,800M

EBIT MARGIN

15.0%

VALUATION BASIS

~20x Peer Multiple

08

Embedded

Pool deep dive — current_profit_engine.

The Embedded segment, largely the legacy Xilinx acquisition plus specialized CPUs and GPUs, is estimated to generate \$6.0 billion in net sales and \$2.4 billion in EBIT for 2026. That translates to an exceptional 40.0% operating margin, providing 17.2% of group EBIT. The allocated enterprise value of \$65.0 billion is 7.6% of group EV, implying a ~27x forward EBIT multiple.

The market assigns a premium 27x multiple to Embedded because Field Programmable Gate Arrays (FPGAs) and adaptive System-on-Chips (SoCs) serve long-lifecycle, highly sticky end markets — aerospace, defense, automotive, industrial automation. Once an FPGA is designed into a military radar, cellular base station, or medical imaging device, switching costs are prohibitive. This dynamic protects the segment's 40% operating margins from the severe cyclical pricing pressure seen in consumer electronics.

The Embedded market went through a severe inventory correction during 2024 and 2025 as industrial and automotive customers drew down pandemic-era stockpiles. Entering 2026, demand has stabilized. The underlying growth vectors are expanding edge-AI processing, where low-latency inference is required directly on hardware (autonomous driving sensors, automated factory vision) rather than routing data to the cloud.

Embedded economics differ entirely from the Client or Data Center segments. Volumes are lower, product lifecycles stretch over a decade, and ASPs remain remarkably stable. The 40% operating margin results from minimal post-launch R&D for mature nodes and immense pricing power over locked-in industrial customers.

EMBEDDED FACT SHEET

CURRENT_PROFIT_ENGINE

2026E NET SALES

\$6,000M

2026E EBIT

\$2,400M

EBIT MARGIN

40.0%

VALUATION BASIS

~27x Peer Multiple

CORE ANALYSIS · CROSS-POOL BRIDGE

09

Putting the pools back together

How the parts add up — and where the multiple has to come from.

The financial bridge from the 2026 estimated baseline to the 2027 consensus forecast demands an extraordinary acceleration in operating economics. Mechanically, the forecast requires AMD to add \$20 billion in top-line net sales and \$8.69 billion in operating EBIT in a single year.

The Client, Embedded, and Gaming businesses cannot support this bridge. The Client market is structurally constrained by memory pricing inflation and the slow enterprise PC replacement cycle. Embedded is a steady, low-growth cash engine. Therefore, almost 100% of the incremental \$20 billion in revenue and \$8.7 billion in EBIT must come from the Data Center segment.

This means the Data Center business alone must jump from roughly \$28 billion in revenue in 2026 to nearly \$48 billion in 2027, maintaining or expanding its ~33.5% operating margin. The forecast depends heavily on successful scaling of the MI350/MI355X series GPUs and realization of Lisa Su's 'tens of billions' revenue target. The weakest part of this bridge is the gross margin assumption. If HBM3e costs remain elevated because of severe TSMC/memory capacity constraints, AMD could achieve the required \$20 billion revenue expansion but fail to deliver the required operating profit flow-through.

BRIDGE MECHANICS

The forecast bridge places virtually 100% of the \$8.7 billion sequential operating profit expansion burden directly on the Data Center.

The core enterprise value control total of \$857,534 million bridges cleanly to the equity market cap of \$853,130 million by deducting \$4,404 million in net debt. Because the balance sheet is effectively unlevered, enterprise value and equity value are practically synonymous for this analysis.

The valuation tension table isolates exactly where the market is pricing perfection. Under a normalized framework, if we assign generous but historically grounded semiconductor infrastructure multiples to AMD's current 2026 estimated earnings, the Client, Embedded, and Gaming segments fully justify their allocated valuations based on current economics. However, applying a generous 25x multiple to the Data Center's current \$9.37 billion operating profit yields a supported EV of only ~\$234 billion.

The gap between this supported EV and the \$750 billion allocated by the market leaves an uncovered valuation premium of over \$515 billion. This massive premium depends entirely on future optionality: the belief that the AI data center buildout is a multi-decade structural shift, that merchant silicon will continue to dominate custom hyperscaler ASICs, and that AMD has permanently secured a duopoly position alongside Nvidia.

The most fragile assumption embedded in this premium is terminal pricing power. If the inference market commoditizes, or if massive hyperscaler capex fails to generate corresponding software application revenue, the hardware capex cycle will inevitably decelerate. Because AMD is priced at roughly 80x forward EBIT on a consolidated basis, it has minimal margin of safety.

CORE ANALYSIS · SCENARIOS & VERDICT

10

Scenario logic and the bottom-line judgment

How the report would look different if the call breaks the wrong way.

The scenarios are built entirely around the elasticity and profitability of the Data Center segment. Since Client, Embedded, and Gaming represent just 12.5% of enterprise value, fluctuations in PC refresh cycles or industrial inventory clear-outs will not materially move the equity dial. The largest valuation swing depends solely on the trajectory of the Instinct AI GPU franchise.

In the Bull scenario, AMD successfully executes its memory-first strategy with the MI355X and subsequent architectures, capturing 30% of a \$400 billion AI accelerator market. The immense volume lets AMD absorb fixed R&D and achieve \$35 billion in segment EBIT by 2029. Applying a 30x multiple to this dominant duopoly position drives the Data Center EV past \$1 trillion, lifting the implied share price securely above \$700.

The downside depends on the 'ASIC Substitution and Margin Crush' scenario. If hyperscalers successfully migrate inference workloads to internal custom silicon, the merchant silicon TAM will shrink. Stripped of volume, AMD would be forced into a price war with Nvidia to capture remaining merchant demand, collapsing operating margins. If Data Center EBIT stagnates at \$12 billion and the market compresses the multiple to a historical hardware infrastructure mean of 20x, the Data Center EV collapses to \$240 billion, dropping implied equity value to roughly \$210 per share.

BOTTOM LINE

The central investment debate around Advanced Micro Devices is whether the company can scale from an opportunistic 'second-source' AI hardware provider into a permanent, high-margin duopoly partner in global data center infrastructure. The Data Center value pool matters almost exclusively; at 87.5% of total enterprise value, the remaining cash-generating businesses serve only as operational support systems, offering virtually no valuation floor if the AI thesis fractures.

FINANCIAL BRIDGE · PART 1

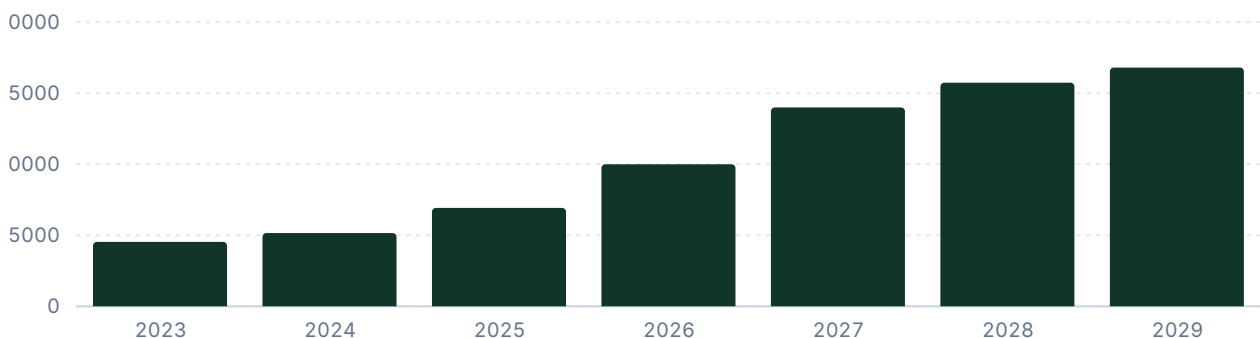
14

Net sales, EBITDA / EBIT, EBIT margin

Group-level top-down view. Shaded bands show forecast periods.

Net sales

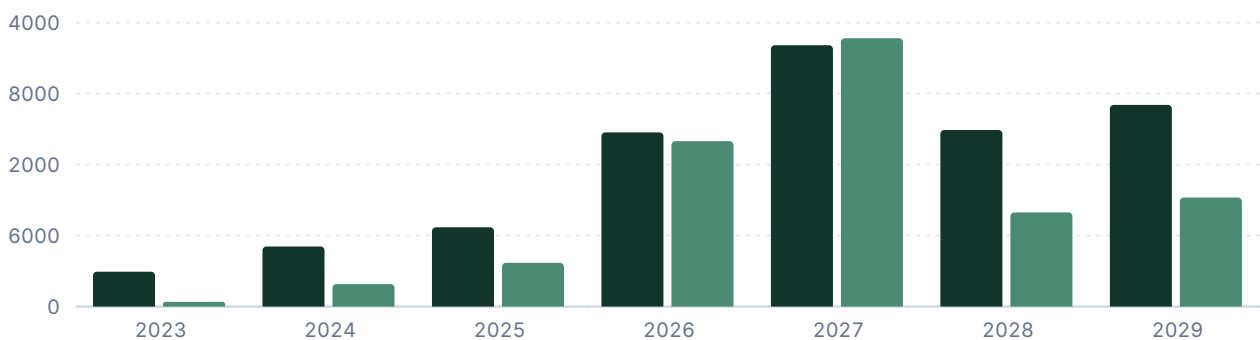
EUR millions



EBITDA & EBIT

EUR millions

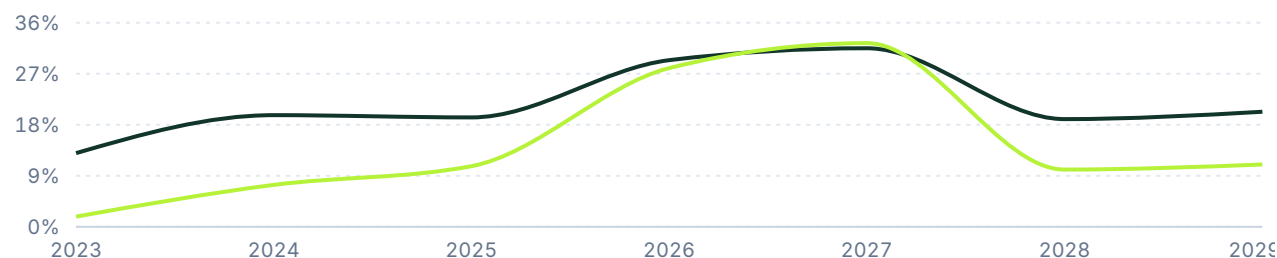
- EBITDA
- EBIT



EBIT and EBITDA margin

% of net sales

- EBITDA margin
- EBIT margin



FINANCIAL BRIDGE · PART 2

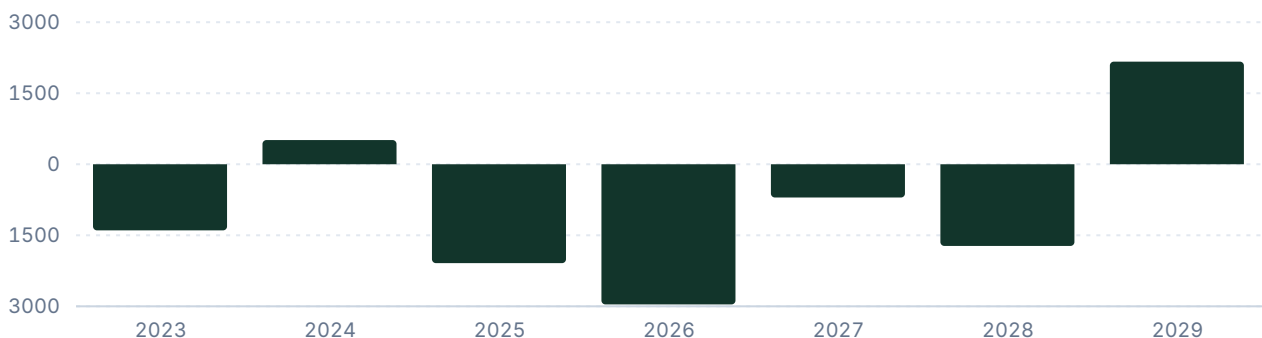
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Free cash flow, leverage, and key financials

Cash generation and balance-sheet capacity.

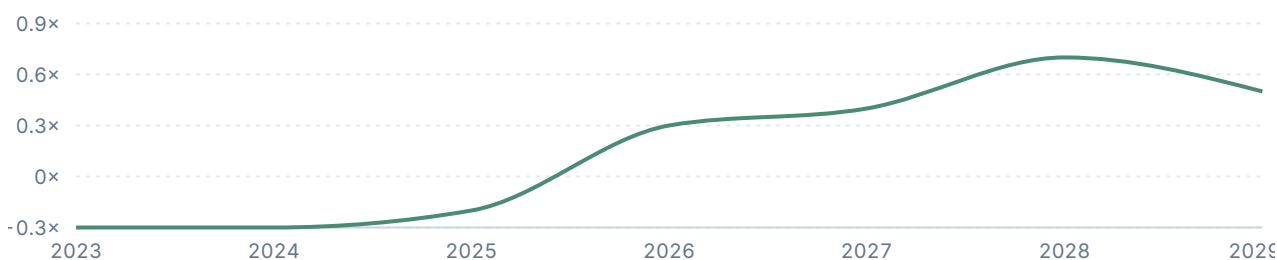
Free cash flow

EUR millions



Net debt / EBITDA

Ratio



KEY FINANCIALS

	2025	2026	2027	2028	2029
Net Sales	34,639	50,000	70,000	78,713	84,033
EBITDA	6,698	14,715	22,078	14,916	17,037
Comparable EBIT	3,694	13,975	22,666	7,956	9,211
Net Earnings	4,335	7,554	13,525	5,810	6,763
EPS (USD)	2.7	4.7	8.3	3.6	4.2
DPS (USD)	0	0	0	0	0

MULTIPLES & SENSITIVITY

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Forward multiples and EBITDA × multiple grid

How the implied value changes when EBITDA and the trading multiple move.

FORWARD MULTIPLES	
	2026
P/E	112.5×
EV/EBITDA	58.3×
EV/EBIT	61.4×
P/FCF	-287.1×
P/BV	12.0×
Dividend Yield	—
Net Debt / EBITDA	0.3×

EBITDA × EV/EBITDA sensitivity					
EBITDA EV / EBITDA →	40.0×	50.0×	58.3×	70.0×	80.0×
-20% USD 11,772m	USD 470,880m USD 289.40 / sh	USD 588,600m USD 361.60 / sh	USD 686,072m USD 421.40 / sh	USD 824,040m USD 506.00 / sh	USD 941,760m USD 578.20 / sh
-10% USD 13,244m	USD 529,760m USD 325.50 / sh	USD 662,200m USD 406.80 / sh	USD 771,860m USD 474.00 / sh	USD 927,080m USD 569.20 / sh	USD 1,059,520m USD 650.40 / sh
Base USD 14,715m	USD 588,600m USD 361.60 / sh	USD 735,750m USD 451.90 / sh	USD 857,590m USD 526.60 / sh	USD 1,030,050m USD 632.40 / sh	USD 1,177,200m USD 722.60 / sh
+10% USD 16,187m	USD 647,480m USD 397.70 / sh	USD 809,350m USD 497.00 / sh	USD 943,378m USD 579.20 / sh	USD 1,133,090m USD 695.50 / sh	USD 1,294,960m USD 794.80 / sh
+20% USD 17,658m	USD 706,320m USD 433.80 / sh	USD 882,900m USD 542.10 / sh	USD 1,029,108m USD 631.80 / sh	USD 1,236,060m USD 758.70 / sh	USD 1,412,640m USD 867.00 / sh

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SCENARIO VALUATION

Bear / Base / Bull bridge

Revenue, EBITDA, multiple, EV, equity, value-per-share and upside in each scenario.

SCENARIO BRIDGE								
	REVENUE	EBITDA	MARGIN	MULTIPLE	EV	EQUITY	VALUE / SHARE	UPSIDE
Bear	65,000	17,000	26.1%	20.4×	346,800	347,867	USD 213.34	-58.7%
Base	85,000	30,000	35.3%	28.5×	855,000	856,067	USD 525.00	+1.7%
Bull	105,000	40,000	38.0%	28.9×	1,156,000	1,157,067	USD 709.60	+37.5%
KEY CONDITIONS The scenarios are built entirely around the elasticity and profitability of the Data Center segment. Since legacy segments represent just 12.5% of enterprise value, group valuation multiples and EBIT outcomes depend solely on whether AMD captures 30% of a \$400B AI accelerator market or suffers margin crush from custom hyperscaler ASIC substitution.								
THESIS BREAKER Aggressive substitution of merchant AI GPUs with custom hyperscaler ASICs, structurally contracting the TAM and collapsing operating margins.								

CATALYSTS

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Monitoring checklist

Near, medium and long-term events that could shift the call.

CATALYST REGISTER				
	TIMING	POOL	INDICATOR	VALUATION IMPACT
MI355X enterprise adoption vs Nvidia Blackwell	NEAR-TERM	Data Center	Quarterly data center segment revenue beats driven by enterprise AI deployments.	+\$50/share
HBM3e supply constraints and pricing dynamics	NEAR-TERM	Data Center	Memory supplier capex and AMD gross margin stability.	+\$20/share
Windows-on-ARM / Nvidia CPU market penetration	MEDIUM-TERM	Client	Mercury Research x86 unit market share data erosion.	-\$30/share
Industrial and Auto end-market capex recovery	NEAR-TERM	Embedded	Embedded segment book-to-bill disclosures and sequential revenue growth.	+\$10/share

READ - THROUGH

The catalyst that matters most is widespread enterprise adoption of the MI355X architecture. Early volume was heavily concentrated among a few hyperscalers acting defensively against Nvidia, but long-term valuation support requires broad-based enterprise purchasing. This is the easiest metric to track, as it will flow directly into quarterly Data Center revenue beats or misses. The catalyst most likely to be misunderstood is the HBM3e supply chain constraint. Investors may misinterpret slower GPU volume growth as a demand failure when it may actually be a hard ceiling on memory packaging capacity at TSMC. Conversely, if memory costs inflate rapidly, AMD could beat revenue expectations while severely missing EBIT margins. The monitoring checklist directly links to valuation by testing whether AMD has the supply chain leverage to scale profitability at the 80x multiple the market currently demands.

RISKS

Risk register

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Each risk's pool, mechanism, early - warning trigger, impact band and structural type.

RISK REGISTER					
	POOL	MECHANISM	EARLY WARNING	IMPACT	TYPE
Hyperscaler ASIC Substitution	Data Center	Major cloud providers migrate inference workloads to proprietary silicon, structurally shrinking the merchant GPU TAM.	Flattening orders from top 4 cloud providers.	HIGH	STRUCTURAL
Client PC Architectural Disruption	Client	Nvidia and ARM -based entrants permanently fragment the x86 laptop and desktop compute duopoly.	Qualcomm gaining >20% premium laptop share.	HIGH	STRUCTURAL
HBM Supply Chain Cost Inflation	Data Center	TSMC packaging and memory bottlenecks force AMD to absorb higher component costs, compressing AI GPU margins.	Gross margins missing consensus estimates.	MEDIUM	MANAGEABLE
Internal Node Allocation Friction	Client	Prioritizing high-margin AI GPUs starves Client and Gaming divisions of cutting-edge TSMC silicon.	Client processor supply shortages.	MEDIUM	MANAGEABLE
READ - THROUGH The most thesis-breaking risk is aggressive substitution of merchant AI GPUs with custom hyperscaler ASICs. AMD's valuation mathematically requires a massive, expanding merchant TAM. If Google, AWS, and Microsoft successfully shift most of their inference workloads to proprietary silicon, the total addressable market for merchant chips will structurally contract, collapsing both Nvidia's and AMD's long-term volume assumptions. A secondary, yet highly potent risk is architectural disruption of the Client x86 CPU market. While the Client segment currently generates only a fraction of group enterprise value, it is critical for funding foundational R&D. Nvidia's entrance into the PC CPU space, combined with Qualcomm's ongoing ARM expansion, threatens to permanently fragment the historical Intel/AMD duopoly. If AMD is forced into a defensive price war to maintain PC market share, operating cash flows will erode precisely when capital intensity for AI data center architectures is peaking.					

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APPENDIX

Income statement

INCOME STATEMENT — EUR MILLIONS						
	2023	2024	2025	2026	2027	2028
Net Sales	22,680	25,785	34,639	50,000	70,000	78,713
EBITDA	2,946	5,077	6,698	14,715	22,078	14,916
EBITDA margin	13.0%	19.7%	19.3%	29.4%	31.5%	19.0%
Depreciation	-2,545	-3,177	-3,004	-740	588	-6,960
Operating Profit (EBIT)	401	1,900	3,694	13,975	22,666	7,956
EBIT margin	1.8%	7.4%	10.7%	28.0%	32.4%	10.1%
Net financial items	107	122	472	-3,830	-4,389	-105
Pre-tax Profit	508	2,022	4,166	10,145	18,277	7,851
Net Earnings	854	1,641	4,335	7,554	13,525	5,810
PER SHARE						
EPS	0.5	1	2.7	4.7	8.3	3.6
DPS	0	0	0	0	0	0
Payout ratio	—	—	—	—	—	—

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APPENDIX

Balance sheet

BALANCE SHEET — EUR MILLIONS						
	2023	2024	2025	2026	2027	2028
ASSETS						
Tangible assets	2,222	2,425	2,312	3,815	5,341	6,006
Intangibles	21,363	18,930	16,705	24,113	33,758	37,960
Goodwill	24,262	24,839	25,126	25,126	25,126	25,126
Non-current assets	50,751	49,489	49,595	58,506	69,677	74,544
Inventories	4,351	5,734	7,920	11,323	15,852	17,825
Receivables	8,484	9,528	13,488	17,803	22,056	23,908
Cash & equivalents	3,933	3,787	5,539	7,767	10,874	12,228
Current assets	16,768	19,049	26,947	36,893	48,781	53,960
Total Assets	67,885	69,226	76,926	95,783	118,842	128,888
EQUITY & LIABILITIES						
Equity	55,892	57,568	62,999	70,893	84,418	90,228
Long-term debt	1,717	1,721	2,973	6,085	9,614	11,192
Short-term debt	751	—	874	6,085	9,614	11,192
Long-term liabilities	3,567	3,537	3,534	6,646	10,175	11,753
Current liabilities	6,689	7,281	9,455	17,931	23,936	26,594
Total liabilities & equity	67,885	69,226	76,926	95,783	118,842	128,888
CAPITAL STRUCTURE & RATIOS						
Net debt	-930	-1,575	-1,067	4,404	8,354	10,157
Capital invested	54,427	55,502	61,307	75,297	92,772	100,385
Equity ratio	82.3%	83.2%	81.9%	74.0%	71.0%	70.0%
Gearing	-1.7%	-2.7%	-1.7%	6.2%	9.9%	11.3%
Net debt / FRITDA	-0.3x	-0.3x	-0.2x	0.3x	0.4x	0.7x

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APPENDIX

Cash flow

CASH FLOW — EUR MILLIONS						
	2023	2024	2025	2026	2027	2028
OPERATIONS						
CF from operations	330	3,734	2,493	3,840	6,633	10,023
Operating cash flow	-789	2,460	2,211	6,691	9,881	10,101
Change in working capital	3,082	1,084	4,846	4,454	6,304	2,746
INVESTING & FREE CASH						
Gross capex	793	1,915	3,110	9,651	10,583	11,827
Capex (ex. M&A)	-793	-1,915	-3,110	-9,651	-10,583	-11,827
Free Operating Cash Flow	-1,396	511	-2,154	-2,960	-702	-1,725
Free cash flow to firm	-1,396	511	-2,088	-2,960	-702	-1,725
FINANCING						
CF from financing	614	-790	2,101	8,039	7,057	3,157
Dividends paid	—	—	—	—	—	—
Net change in cash	151	1,029	1,484	2,228	3,107	1,353

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APPENDIX

Quarterly snapshot

LAST FOUR QUARTERS — EUR MILLIONS				
	Q1/25	Q2/25	Q3/25	Q4/25
Net Sales	7,438	7,685	9,246	10,270
EBITDA	1,548	623	2,024	2,503
EBITDA margin	20.8%	8.1%	21.9%	24.4%
Comparable EBIT	806	-134	1,270	1,752
EBIT margin	10.8%	-1.7%	13.7%	17.1%
Net Earnings	709	872	1,243	1,511
EPS	0.4	0.5	0.8	0.9

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SOURCES & DISCLAIMER

Sources, assumptions, and standard disclaimer

SOURCES REGISTER			
	VALUE	CATEGORY	USED IN
Current Price: \$516	516.1	MARKET DATA	Page 1
2026E Forward PE Multiple: 112.5x	112.49x	MODEL OUTPUT	Page 4
2025 Actual Net Sales: \$34,639M	34639	FINANCIAL SNAPSHOT	Page 8
2026E Data Center Sales: \$28,000M	28000	COMPANY VALUE MAP	Page 5
2027E Consensus Net Sales: \$70,000M	70000	CONSENSUS ESTIMATES	Page 9
2026E Base Group EBITDA: \$14,715M	14715	ANALYST-GENERATED ESTIMATE	Page 10
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